discussed here). For example, if the behavior in question was not "hitting your dog" but rather "selling a losing investment," you might concoct some rationale along the lines of "it is okay not to sell a losing investment" in order to resolve cognitive dissonance and permit yourself to hold onto a stock. This behavior, obviously, can pose serious hazards to your wealth.

2. *Modifying actions*. On realizing that you have engaged in behavior contradictory to some preexisting belief, you might attempt to instill fear and anxiety into your decision in order to averse-condition yourself against committing the same act in the future. Appalled at what you have done, you may emphasize to yourself that you will never hit your dog again, and this may aid in resolving cognitive dissonance. However, averse conditioning is often a poor mechanism for learning, especially if you can train yourself, over time, to simply tolerate the distressful consequences associated with a "forbidden" behavior.

Investors may successfully leverage averse conditioning. For example, in the instance wherein a losing investment must be sold, an individual could summon such anxiety at the prospect of ever again retaining an unprofitable stock that actually doing so seems inconceivable. Thus, the dissonance associated with having violated a basic precept of investment strategy dissipates. However, some investors might undergo repeated iterations of this process and eventually become numb to their anxieties, nullifying the effects of averse conditioning on behavior.

3. *Modifying perceptions of relevant action(s)*. A more difficult approach to reconciling cognitive dissonance is to rationalize whatever action has brought you into conflict with your beliefs. For example, you may decide that while hitting a dog is generally a bad idea, the dog whom you hit was not behaving well; therefore, you haven't done anything wrong. People relying on this technique try to recontextualize whatever action has generated the current state of mental discomfort so that the action no longer appears to be inconsistent with any particular belief.

An investor might rationalize retaining a losing investment: "I don't really need the money right now, so I won't sell" is a justification that might resolve cognitive dissonance. It is also a very dangerous attitude and must be avoided.